Bandits, large-scale computing

Lecture notes. AI in Industry, ETH Zurich, weekend 2, Friday 13 November 2026, 14:00 and 16:00.

1 Multi-armed bandits

Multi-armed bandit. Repeated choices among the same options; each choice brings a reward by chance, only the chosen option's reward is seen, and the goal is the largest total reward.

The game. Each morning a magic mirror shows its owner one ad from the Mirror Shop; a tap on the ad is a click. A season is 100 mornings. Goal: as many taps as possible.

Probability p. How likely a customer is to tap a product; hidden from the mirror. Showing an ad is drawing a ball from the customer's urn for that product, orange for a tap: Cinderella's urn for the mattress holds 2 orange balls of 5, $p = 2/5 = 0.4$.

	Robot vacuum	Rope ladder	Leaf blower	Memory-foam mattress	Satnav
Cinderella	0.6	0.2	0.2	0.4	0.2
Rapunzel	0.4	0.8	0.2	0.2	0.2

Estimate $\hat{p}$. Of a product: its taps divided by its showings, the average of its 1s (taps) and 0s; it tends to p as the showings grow. The board: a dot per showing, • a tap, ∘ no tap.

Rate. Taps divided by mornings, of a season or so far, after each morning.

The Queen's mirror. It knows every p and shows the product with the highest p every morning: an imagined reference, the best rate a mirror could reach.

Strategy. The rule a mirror follows to choose the ad each morning, from the dots alone. To initialize is to show each product once, in the order of the board, on mornings 1 to 5.

Exploration-exploitation dilemma. Each morning the mirror explores, showing a product to learn more about it, or exploits, showing the product with the highest estimate. Explore too little and it may never find the favourite. Explore too much and it wastes mornings.

Game: Once Upon a Mirror, section 1. Notebook: 1, the estimate.

2 Random

Random. Each morning, a card from a hat: every product has the same chance, 1 in 5.

Race season. One season at Cinderella's, the same mornings for every mirror. Random: 31 taps, rate 0.31. The Queen's mirror, the vacuum every morning: 60 taps, rate 0.6.

Game: Once Upon a Mirror, section 2. Notebook: 2, the random mirror.

3 Estimate then exploit

Estimate then exploit with n:

1. Initialize.
2. Test: on each of the next n mornings, a card from the hat.
3. Highest estimate: after the test, the product with the highest, a tie broken at random.
4. Exploit: show it on every remaining morning.

$\hat{p}$		Product	Showings
0.67	2/3	Robot vacuum	○●●
0	0/4	Rope ladder	○○○○
0	0/5	Leaf blower	○○○○○
0.38	3/8	Memory-foam mattress	●○○●●○○○
0.2	1/5	Satnav	○○○○●

Example: the race season with $n = 20$, the board after the test, mornings 1 to 25. The vacuum leads with 0.67; the mirror shows it on mornings 26 to 100. Taps: 6 on mornings 1 to 25, 41 after, 47 in all.

Choosing n. A large n wastes mornings on products the customer rarely taps; with a small n, a weaker product can have the highest estimate. The best n depends on the probabilities, which the mirror does not know. Challenge round, average rate over 10,000 seasons, best n within 0.005 of the highest: Cinderella, ball gown 0.95, tiara 0.9, three products at 0.6: best n 19 to 34. Rapunzel, ribbon 0.95, four products at 0.02: best n 1 to 6.

Game: Once Upon a Mirror, section 3. Notebook: 3, estimate then exploit.

4 Epsilon-greedy

Epsilon-greedy with ε, the share of the roulette's small slice:

1. Initialize.
2. Spin the roulette. With $\varepsilon = 0.2$, one spin in five stops on the small slice.
3. Sample: on the small slice, a card from the hat, the best product included; on the large slice, the product with the highest estimate, a tie broken at random.
4. Update: the shown product's estimate changes. Steps 2 to 4 repeat every morning.

Example: the race season with $\varepsilon = 0.2$. The needle stopped on the hat 16 times in 95 spins. From morning 19 on, the large slice always showed the vacuum. Showings in the season: vacuum 71, ladder 6, blower 2, mattress 16, satnav 5. Taps: 47.

Game: Once Upon a Mirror, section 4. Notebook: 4, epsilon-greedy.

5 UCB

UCB. Upper confidence bound; exploration bonus $1/\sqrt{n}$ for n dots, bigger with fewer dots:

1. Initialize: each product's first estimate and first bonus.
2. Show the highest: the product with the highest estimate + bonus, a tie broken at random.
3. Update: tap or no tap, its estimate and its bonus change.
4. Repeat every morning, to the end of the season.

Product	Estimate	Bonus	Estimate + bonus
Robot vacuum	$3/4 = 0.75$	$1/\sqrt{4} = 0.5$	1.25
Rope ladder	$0/1 = 0$	$1/\sqrt{1} = 1$	1
Leaf blower	$0/1 = 0$	$1/\sqrt{1} = 1$	1
Memory-foam mattress	$1/3 = 0.33$	$1/\sqrt{3} = 0.58$	0.91
Satnav	$0/1 = 0$	$1/\sqrt{1} = 1$	1

Example: the race season after 10 mornings. In the game, the estimate is the dark bar, the bonus the light bar. The highest estimate + bonus: the vacuum, 1.25, shown on morning 11. Taps in the season: 52.

The real UCB. The product with the highest $\hat{p} + \sqrt{2 \ln t / n}$, t the mornings so far, ln the natural logarithm. With high confidence, p is below this number: an upper confidence bound.

Mirror	Cinderella	Rapunzel
Queen's mirror	60	78
UCB	52	70
Epsilon-greedy, $\varepsilon = 0.2$	47	67
Estimate then exploit, $n = 20$	47	61
Random	31	32

Game: Once Upon a Mirror, section 5. Notebook: 5, UCB.

All the mirrors. Taps in the race season, every mirror on the same 100 mornings, at Cinderella's and at Rapunzel's. Rapunzel's ladder, $p = 0.8$, stands far above her other products. Another season gives other numbers.

6 Computing clusters

FLOP. Floating point operation: one operation, such as a multiply or an add, on two numbers; $a \times b + c$ is 2 FLOPs. FLOPs count work; FLOP/s, operations per second, measure speed.

GH200. A module of NVIDIA: Grace, an ARM CPU, and Hopper, the GPU that does the arithmetic, with 96 GB of HBM3 memory. Rate: 990×10^{12} FLOP/s at 16 bits per number.

Alps. The machine of CSCS, the Swiss National Supercomputing Centre in Lugano, an HPE Cray EX254n: 24 cabinets of 8 chassis, 7 blades in each chassis, 2 nodes on each blade. A node is one computer, with one operating system, of 4 GH200, one in each socket. 2,688 nodes $\times$ 4 GH200 = 10,752 sockets, 10.6×10^{18} FLOP/s together. Apertus, the open language model of EPFL, ETH Zurich and CSCS, was trained on Alps.

Capacity and bandwidth. Capacity: how much fits, 96 GB on a GH200. Bandwidth: how fast it moves, 4 TB/s from the HBM3 memory. 990×10^{12} FLOP/s divided by 4.023×10^{12} bytes/s is 246 FLOP per byte: unless a computation reuses each byte about that many times, the arithmetic units wait. A large matrix multiply does.

Links. The GPU to its HBM3 memory, 4,023 GB/s; Grace to Hopper, 900 GB/s; socket to socket inside a node, 150 GB/s; between nodes, 25 GB/s per GPU. Each step down costs about a factor of five; end to end, 161 times. The data stays at the fast end, and the slow links are crossed as rarely as possible.

Watt and kilowatt hour. A watt is a rate of energy, a kilowatt hour an amount. Alps caps each GH200 at about 660 W: one hour takes 0.66 kWh, 5.3 Rappen at 8 Rappen per kWh (assumed). All 10,752 modules: 7.1 MW, about 570 francs an hour.

Training cost. $C = 6ND$ FLOP for a model of N parameters trained on D training numbers; the 6 is a rule of thumb. $N = D = 10^6$: $C = 6 \times 10^{12}$ FLOP, 120 seconds on a laptop at 50×10^9 FLOP/s. Apertus-70B, $N = 70 \times 10^9$, $D = 15 \times 10^{12}$: $C = 6.30 \times 10^{24}$ FLOP.

The Apertus-70B run. Over 6 million GPU hours: 61 days of 4,096 GPUs flat out; the run spanned about 91 days, 2,747 GPUs on average. 6 million GPU hours $\times$ 660 W = 3.96 GWh, 0.32 million francs at 8 Rappen per kWh. At \$2.50 per GPU hour in a cloud: \$15.0 million.

Slides: Large-scale computing.

7 Matrix factorization on a grid of computers

The job. 6 customers and 6 films with invented ratings, two guessed numbers each. Gradient descent keeps 132 numbers: 36 ratings, 24 guessed numbers, 36 predictions, 36 losses. 15 computers of 21 places each, 315 in all: neither the ratings nor the guessed numbers fit in one.

Blocks and slices. The 4 predictions of 2 customers and 2 films need only the two rows of those customers and the two columns of those films, 8 of the 24 guessed numbers. The ratings, cut every 2 customers and every 2 films: nine blocks of 4, one on each of C11 to C33. The customers' numbers in 3 slices, on A1 to A3; the films' numbers in 3 slices, on B1 to B3. A C computer holds 4 ratings, 4 + 4 copies, 4 predictions, 4 losses and their sum: 21 numbers.

total loss 387	B1 Paddington The Martian	B2 The Intouchables Apollo 13	B3 Men in Black Interstellar
A1: Lena, Omar	C11: sum 50	C12: sum 5	C13: sum 46
A2: Rosa, Tim	C21: sum 42	C22: sum 54	C23: sum 87
A3: Uma, Zoe	C31: sum 40	C32: sum 21	C33: sum 42

Gradient descent on the grid.

1. Every A computer sends a copy of its numbers to the 3 C computers of its row.
2. Every B computer sends a copy of its numbers to the 3 C computers of its column.
3. Every C computer multiplies its two copies: its 4 predictions.
4. Every C computer computes its 4 losses and their sum; the nine sums make the total loss.
5. What-if: one number of an A or B computer changes by 0.01; only the C computers of its row or column recompute their sums, and the nine sums give the total loss after.
6. Slope: (total loss after − total loss before)/0.01.
7. Update: the number moves to number $-\alpha \times$ slope, with $\alpha = 0.014$.
8. Rounds: all numbers of A and B do their what-ifs at the same guess, then move at once.

Example: the first guess, above, total loss 387. The Intouchables' first number, on B2, from -1 to -0.99: only C12, C22 and C32 recompute, their sums 5 to 4.9005, 54 to 53.8005 and 21 to 21.0405; total loss 386.7415. Slope: $(386.7415 - 387)/0.01 = -25.85$. Update: $-1 - 0.014 \times (-25.85) = -0.64$. The total loss is below 1 after round 30 and below 0.01 after round 51; it stops falling after round 78, at 0.0028, every prediction within 0.022 of its rating.

Game: Matchmaker on a Grid.

8 Games, notebooks and slides

Game, visualization and slides, on the course site. Notebooks, in the public repository https://github.com/eth-ainit-hs26/w2-cx-public; each link opens one in Colab:

Once Upon a Mirror	eth-ainit-hs26.github.io/AINIT-PAGE/viz/we2/mirror/
Matchmaker on a Grid	eth-ainit-hs26.github.io/AINIT-PAGE/viz/we2/matchmaker-grid/
Large-scale computing	eth-ainit-hs26.github.io/AINIT-PAGE/slides/we2/ainit-hs26-large-scale-computing.pdf
1, the estimate	student, solutions
2, the random mirror	student, solutions
3, estimate then exploit	student, solutions
4, epsilon-greedy	student, solutions
5, UCB	student, solutions